

The Hidden Forces of Divergence

As a result of divergence and non-confirmation, the transition phase from a bull market to bear is a period in which profiting on the long side still looks easy, but isn't. This condition has certainly been in force recently. From October 15, 1993 to today, the Dow Jones Industrial Average has risen nearly 700 points, or just under 20%. At the same time, the NYSE Composite index, a broader reflection of the market, has risen only 6.5%, the average stock fund is up *less than* 2%, and the advance-decline line has lost ground. Take a look at Figure 9-9 and see how mutual fund owners have done since October 1993 while the headlines keep announcing new highs. The Dow is telegraphing the *feeling* that making money is easy, but the average market participant has experienced almost no net gain for a full year and a half, thereby underperforming Treasury bills by 6%. While the conventional opinion today is that this

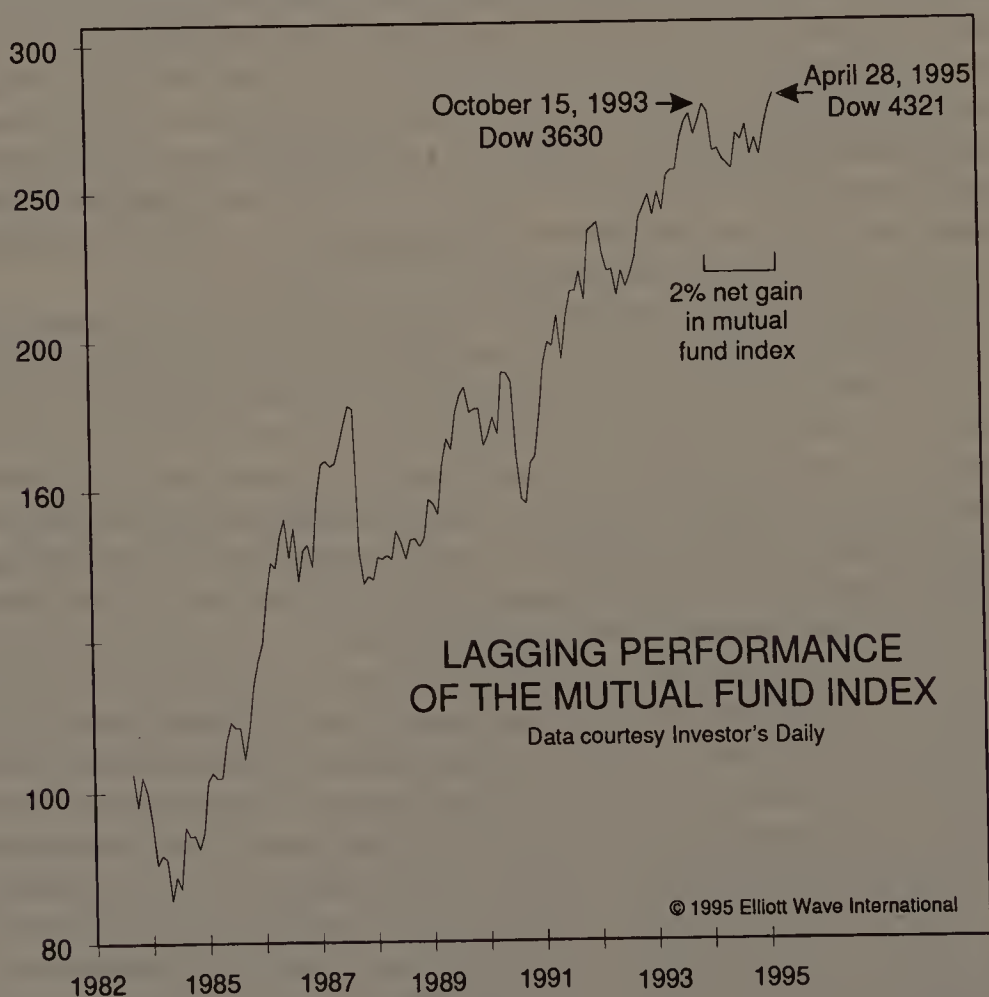


Figure 9-9